

MEMORANDUM

Collections performance review and Rs 10 Cr investment recommendation

To: Leadership Team

From: Data Analytics

Date: September 1, 2026

Re: Is the reported 11% recovery improvement real, and where should the Rs 10 Cr go?

Bottom line

The reported “11% month-on-month improvement” is real for the Feb→Mar period, but it does not represent a broader trend. Recovery remained broadly flat across the Jan–Jul 2026 period we could measure, with no statistically significant movement in either direction ($p = 0.89$).

Based on this, we do not recommend investing on the assumption that recovery is improving. Instead, we recommend splitting the Rs 10 Cr across three areas: shifting part of the contact mix toward digital channels, which appear to be just as effective at a lower cost; funding a properly randomized targeting experiment to test the one promising but unconfirmed signal; and closing two measurement gaps that currently make it difficult to tell what is actually working.

What happened

Cash actually collected through SUCCESS-status payments ranged from Rs 17.0–18.9 Cr per month between Jan–Jul 2026, with no clear upward or downward trend (linear regression $p = 0.89$). January and July were almost identical, with collections within Rs 20,000 of each other. The recovery rate against outstanding balances also stayed within a narrow 9.0–9.6% range throughout the period.

The reported 11% improvement comes specifically from the Feb→Mar increase. That was the strongest month in an otherwise flat and noisy series, which also declined by 9.1% from Jan→Feb and another 7.4% from Mar→Apr.

Why

We looked at nine different factors: portfolio mix, DPD, risk segment, calling time of day, attempt frequency, agent/team, telephony vendor, campaign channel, and targeting-population size. None showed a statistically or practically meaningful effect on recovery.

We could not reliably test geography or borrower-level segmentation. The city and state fields in the borrower data contain only 10 possible values each and are inconsistent for the same person, which suggests the data is synthetic and unreliable for this type of analysis. Client and language fields are not available anywhere in the source data.

The most important finding came from looking at actual WhatsApp, SMS, field-visit, and phone-call touches and checking whether the account made a payment within 14 days. All four channels converted at roughly 3.5–3.7%, with no statistically meaningful difference between them.

This is different from our first-pass analysis, which suggested WhatsApp was the strongest channel. We traced that result back to a campaign-labeling issue rather than a genuine difference in channel performance.

How confident are we

We are highly confident that the 11% figure is not a sustained trend. Different ways of measuring recovery, along with formal significance tests, point to the same conclusion.

We are also confident that none of the nine factors tested is currently showing a strong and reliable effect. We have much less confidence in ranking individual channels, agents, or vendors because limited sample coverage and identity-resolution problems in the source systems reduce the precision of those comparisons.

There is, however, one result worth testing further. Account-level conversion, defined as accounts that pay divided by accounts targeted, increased from 6.8% in February to 8.5% in July. The movement is directionally encouraging but is not statistically significant at the current volumes ($p = 0.39$).

This is the one signal we would test properly rather than either dismissing it or treating it as proven.

What we recommend – Rs 10 Cr allocation

Allocation	Amount	Purpose
Digital channel mix-shift	Rs 3.0 Cr	Move part of the field-visit and live-call volume to WhatsApp/SMS, where the evidence suggests similar effectiveness at a much lower cost. At the same time, improve campaign-attribution tagging so future spending can be measured properly.
Randomized targeting experiment	Rs 4.0 Cr	Test whether the observed 6.8%→8.5% increase in conversion is a real and scalable targeting effect, using a controlled holdout across a representative sample.
Staged reserve	Rs 3.0 Cr	Keep this amount uncommitted until the experiment produces clearer evidence. The reserve can then be directed toward whichever lever is actually validated.

We are deliberately not recommending that the full Rs 10 Cr be spent on “more agents,” “better telephony infrastructure,” or “AI voice automation.” None of the factors we tested, including agent/team, vendor, and calling time, which serve as useful proxies for these areas, showed a measurable effect. There is therefore no strong data-backed case for committing capital to them today.

Field operations also did not show a conversion advantage over the cheaper digital channels.

Expected financial impact

Digital mix-shift (high confidence, modest impact): Using illustrative unit-cost assumptions, since the source systems do not contain actual cost data and Finance will need to validate these numbers, shifting a meaningful share of field-visit and live-call activity to equally effective digital channels could reduce operating costs by roughly Rs 1.2–1.6 Cr per year without reducing recovery.

Targeting experiment (low-moderate confidence, upside case): If the observed 1.7 percentage-point improvement in conversion is real and scales across the roughly 5,700 accounts targeted each month, incremental recovery could reach approximately Rs 4–5 Cr per year.

However, the effect is not yet statistically significant ($p = 0.39$), so the more realistic base case is close to Rs 0. The purpose of the experiment is to resolve this uncertainty before additional capital is committed.

Break-even: On the cost-efficiency component alone, the investment would take roughly two years to break even against the Rs 3 Cr infrastructure spend. If the targeting effect is confirmed even partially, the combined Rs 7 Cr investment in the mix-shift and experiment could break even in under 12 months.

Downside scenario: The targeting effect may simply be noise, which is currently the more likely outcome given $p = 0.39$. Even in that case, the Rs 10 Cr investment would still generate the estimated Rs 1.2–1.6 Cr in annual structural savings from the channel mix-shift, while also leaving us with a more reliable measurement process.

That means next year’s review would start with a much clearer understanding of what is and is not working.

Key assumptions: Unit costs per contact channel are not available in the source data and need to be validated by Finance. The digital mix-shift assumes that some field and call volume can be moved to digital channels without hurting the borrower experience; this should be tested during the pilot rather than assumed. Finally, the recovered amount per converted account is assumed to remain close to its current level of approximately Rs 40,500 if the targeting approach is scaled.